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## **Conducive Business Environment: Local Government Innovative Work Behavior**

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**Abstract**

Local government or better known as the local authority vested with the power to plan, develop, and regulate businesses in the area within its jurisdiction plays a significant role in creating a conducive environment for businesses to grow and flourish. In playing this role, employees in local authority must possess a certain degree of innovative work behavior. This paper reports on a study that investigated innovative work behavior orientation among employees of the local government. A total of 100 employees of a local city council responded to a self-administered questionnaire on innovative work behavior. The results revealed that respondents scored a moderate high orientation on the innovative work behavior scale.

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### **1. INTRODUCTION**

The environment in which businesses operate is increasingly dynamic. In order to stay competitive, businesses must innovate. Management promotes innovation by facilitating new thinking, new ideas and new ways of working among the employees. The government on its part assists businesses to flourish by providing a conducive business environment.

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Government planning and execution of policies rely on the effectiveness functioning of its employees i.e. public servants who serve the governments both at the central or federal and local level. At the central or federal level, public servants play an important role in developing and executing policies concerning foreign relations, national defense and national economic policy. At the local authority or local government, public servants manage both mandatory and discretionary functions. The mandatory functions include all critical functions such as refuse collection, street lighting and activities pertaining to public health which include licensing of hawkers, stall holders, shop and business operators. Discretionary functions, on the other hand, include all development functions such as providing amenities, recreational parks, housing and commercial activities (UNESCAP). All these roles and functions call for public servants to innovate in creating a sustainable conducive business environment through their work activities. Public servant with positive attitude toward new ideas can help improve and upgrade the capability of the existing delivery system or develop a new delivery system in the public administration. While standard operating procedures and bureaucracy are important in the smooth running of administration, they must not be at the expense of hampering the development of conducive business environment.

## 2. LITERATURE

As countries experience rapid growth, pressure mounts on local governments to fulfill the multiple needs of the local citizens and the private sector community. The movement of people and industries into urban areas not only pushes the demand for urban space but also that of urban support services. The concentration of people and industries in urban areas causes the rate of industrialization, trade, commerce and development of modern services to increase. Together, the functions and responsibilities of local governments need to be expanded significantly. Dissatisfaction among the stakeholders runs high when their demands and expectations are not being addressed. As such, allegations have been made of local government being inefficient and of its poor planning (Siddiquee, 2010; Siddiquee and Mohamad, 2007).

Norudin and Che Hamdan (2010) in their study, found a mixed result in customers' satisfaction towards counter service provided by the local government in the three districts in the state of Trengganu, Malaysia i.e., district of Kemaman, Dungun, and Marang. Using a sample of 150 respondents, their findings indicated that over 80% of the respondents in the districts of Kemaman and Dungun were satisfied with the services provided at the counters, only 60% were satisfied in the district of Marang. Evaluation on the facilities provided at the counter also showed mixed results with 84% respondents in Kemaman indicated that they were satisfied, while in Dungun 64% and Marang 48% respectively. In the contexts of efficient and fast service at the counter, respondents in the districts of Kemaman and Dungun were satisfied while those in Marang were found to be less satisfied.

Not only does the public, but the government too demands high performance and accountability from employees of local governments. In Malaysia, various efforts and program have been implemented to bring about attitude changes in government servants and uplift the standard of their services. Policies such as Malaysia-Incorporated Policy; Leadership by Example; Look East Policy and Privatization Policy were introduced in efforts to change the attitude of the civil servants so that they will be more positive, innovative, disciplined, responsible, and efficient (Ahmad Atory & Malike Brahim, 2006). The current focus of Malaysia government is in creating a culture of innovation, creativity and high-value added economic activities (Mohd Najib, 2009).

Continuous innovation is a must for organizations to succeed and stay relevant. Organizations must have the ability to and improve their products, services and work processes. According to Janssen (2000)

if a continuous flow of innovations is to be realized, individual employees must be willing and able to innovate – that he or she must possess innovative work behavior. Farr and Ford (1990) define innovative work behavior as an individual's behavior that aims to achieve the initiation and intentional introduction (within a work role, group or organization) of new and useful ideas, processes, products or procedures.

Reviewing the literature, De Jong and Den Hartog (2008) find that the important of continuous innovation has also been stressed in work on several popular management principles, such as total quality management and corporate entrepreneurship. Further, interest in individual innovation has also cause studies being carried out in the contexts of personality characteristics, outputs, and behavior. The work of Hurt, Joseph, and Cook (1977) focused on individual willingness to change which is a personality-based. Scott and Bruce (1994) on the other hand study individual innovation as a set of discretionary employee behavior i.e. a behavioral approach. Research by West (1987) and Axtell et al. (2000) have been on output based with West studied the number of changes an individual has initiated in his or her job and Axtell et al., focuses on individuals' self-ratings of their suggestions and realized innovations.

According to Carmeli and Spreitzer (2009), employees' innovative work behavior is the foundation of any high-performance organization and is apparent especially in a knowledge-based economy where intangible assets come to the forefront. These work behavior play a significant role in enhancing organizational competitiveness. Employees as an organization's front liner with their customers are more able to see opportunities for change and improvement in work processes and procedures which many may be invisible to managers or others formal positions responsible for innovation in the organization (Carmeli and Spreitzer, 2009). In today's competitive globalised market, organizations therefore need talented employees with best ideas regardless of task responsibility or level of organizational hierarchy.

As innovative work behavior involves generating of ideas therefore it is associated with employee's creativity. Nonetheless, innovative work behavior is broader than just being creative. It also includes behaviors needed to implement ideas and achieve improvements that will enhance personal and/or business performance. Accordingly, individual innovative work behavior involved four stages; opportunity exploration, idea generation, championing, and application (De Jong & Den Hartog, 2008). When tasks of employees are fully focused on innovation, organizations can find objective measures of innovative outputs. This will in turn creates a change reaction with other forms of innovative output such as, more suggestions for innovations, more ideas for change being put forward and, more realized innovations may it in the form of new products and processes being developed (Axtell et al., 2000). Ultimately these innovative changes which appease the customers will help organizations to stand out in complicated business environment (Amabile, 1998). Therefore, it is not surprising to find organizations in recent years are encouraging their employees to transform their creativity into practical innovative behavior (Amabile & Conti, 1999).

The aim of this study is to gauge local government employees' orientation toward innovative work behavior. The objective of this study is achieved through the following question;

# Do employees of local government have high orientation towards innovative work behavior?

This question is refined through the following hypothesis;

## There is a significant difference in the level of innovative work behaviors among employees of local authority based on demographic factors.

### 3. METHODOLOGY

Using the convenience sampling technique, 100 employees of a local authority/government participated in this survey. The demographic distribution of respondents is in Table 1. The innovative work behavior scale developed by De Jong and Den Hartog (2008) is the only measure used to gauge the respondents' orientation towards innovative work behavior. The questionnaires are prepared bilingually (Malay and English). The survey instrument consists of two parts; Section A – the respondents' demographic factors and Section B – innovative work behavior scale.

In determining the reliability of the innovative work behavior scale, the Cronbach's coefficient alpha test which provides indicators of internal consistency was employed. All together the test instrument consists of 10 items. Analysis of these 10 items yielded a coefficient alpha of 0.91. The result thus found the test instrument to be highly reliable. According to Nunnally (1978), an alpha value of 0.80 is sufficiently high for research purposes.

In analyzing the research question and hypothesis, the overall mean score was used as a basis to determine the orientation towards innovative work behavior and to test the differences in the contexts of demographic factors the t-test and ANOVA analyses were used.

### 4. RESULTS AND DISCUSSIONS

Since the innovative work behavior scale consisted of only ten items therefore, the score when averaged yielded a summary score of between 10 and 50 hence, this score reflects the respondents' innovative work behavior orientation. In order to categorize the innovative work behavior orientation into low, moderate, and high; the scores were divided into three categories. A score of between 10 and 23 was considered as low orientation. A score between 24 and 37 was categorized as moderate while a score between 38 and 50 was considered as high innovative work behavior orientations.

Overall the results of this study showed that respondents (N =100) recorded a moderate high means score of  $M=37.52$  ( $SD = 6.78$ ) on the innovative work behavior scale. Therefore, it can be concluded that the respondents' orientation towards innovative work behavior was moderately high.

Table 1 presents the results of the employees' orientation towards innovative work behavior based on demographic factors. In the context of gender differences, the results showed that both female and male respondents scored moderately high on the innovative work behavior scale [ $M=37.32$  ( $SD=6.84$ ) and  $M=37.93$  ( $SD=6.72$ ) respectively] and that the differences were not significant [ $t(98) = 0.42$ ,  $p > 0.05$ ]. The differences between respondents who were single and those married were however significant [ $t(98) = -2.15$ ,  $p < 0.05$ ]. The findings showed that married respondents score high on the innovative work behavior scale as compared to respondents who are single who score moderately on the scale [ $M=38.59$  ( $SD = 6.87$ ) and  $M=35.61$  ( $SD = 6.24$ ) respectively]. In terms of academic qualifications, the result revealed that the differences between respondents who had tertiary qualifications and those who did not were not significant [ $t(98) = 0.58$ ,  $p > 0.05$ ]. Respondents with or without tertiary qualifications equally scored moderately high on the innovative work behavior scale with means score for those with tertiary qualification is  $M=37.83$  ( $SD=6.45$ ) and for those without tertiary qualification,  $M=37.02$  ( $SD = 7.32$ ).

Table 1: Respondents' innovative work behavior mean score according to demographic factors (N=100)

| Demographic Factors    | N        | Mean (M) | SD   |
|------------------------|----------|----------|------|
| Gender                 |          |          |      |
| Male                   | 32 (32%) | 37.93    | 6.72 |
| Female                 | 68 (68%) | 37.32    | 6.84 |
| Marital status         |          |          |      |
| Single                 | 36 (36%) | 35.61    | 6.24 |
| Married                | 64 (64%) | 38.59    | 6.87 |
| Academic qualification |          |          |      |
| Tertiary               | 61 (61%) | 37.83    | 6.45 |
| Non tertiary           | 39 (39%) | 37.02    | 7.32 |
| Position               |          |          |      |
| Managerial             | 24 (24%) | 40.04    | 5.08 |
| Supervisory            | 38 (38%) | 37.32    | 7.03 |
| Non-Supervisor         | 38 (38%) | 36.13    | 7.15 |
| Length of service      |          |          |      |
| < 10 years             | 51 (51%) | 37.61    | 5.74 |
| 11 – 20 years          | 37 (37%) | 36.67    | 7.72 |
| > 21 years             | 12 (12%) | 39.75    | 7.78 |

In the contexts of job status, the results showed that the means score for respondents in the Managerial group (M=40.04, SD=5.08), Supervisory group (M=37.32, SD=7.03), Non-Supervisory group (M=36.13, SD=7.15) were also moderately high. Results of the ANOVA test on the sample size (n=100) also showed that there were no significant differences between respondents on the innovative work behavior scale based on job status category [ $F(2, 97) = 2.55, p > 0.05$ ].

For length of service, the results also demonstrated that there were no significant differences on the innovative work behavior scale [ $F(2, 97) = .94, p > 0.05$ ] between respondents whose services were less than 10 years, between 11 years and 20 years, and those whose services were more than 21 years. Respondents' orientation toward innovative work behavior based on their length of service was also moderately high with the means score for those in service for less than 10 years, M=37.61 (SD=5.74); between 11 years and 20 years, M=36.67 (SD=7.72); those in service for more than 21 years, M=39.75 (SD=7.78).

The results of this study revealed that there was no significant difference in the level of orientation towards innovative work behavior based on demographic factors of gender, academic qualification, position and tenure however, for marital status category the difference was significant.

In considering the outcome of innovative work behavior test in decision making, caution must be taken. The overriding factor in coming to a decision is the trade-off between job role and being innovative on the job. In job categories that require creativity, candidates with high positive scores on innovative work behavior should be considered. However, for jobs that require rule adherence and attention to procedures, candidates with high orientation towards innovative work behavior may not be a necessity. Organizations should therefore carefully avoid from falling into the trap in wishing for a highly

innovative employees without giving consideration of what the organizations actually need their employees to be, in relation to the job itself.

Nonetheless, Malaysia is committed in becoming a nation of innovation. The Malaysian government, through its transformation program has given emphasis on six National Key Results Areas (NKRAs) of reducing crime, fighting corruption, improving student outcomes, raising living standards of low income households, improving basic rural infrastructure and improving urban public transport ([www.pemandu.gov.my](http://www.pemandu.gov.my)). With these programs, transformation within the public service delivery system both at federal and local government are inevitable and expected to emerge especially in the level of efficiency, effectiveness and productivity. Toward these ends, new ideas and approaches in fulfilling consumers' expectations call for innovation and innovative work behavior among civil servants.

## 5. LIMITATION

Due to the limited generalizability of the findings, the results of this study should however, be viewed with caution. Firstly, this study involved a small sample size of the employees' population and was confined to only one local government in one of the states in Malaysia. As such, this study could not be considered as representative of the entire population in local governments in all the states in Malaysia. Nevertheless, the findings of this study are truly reflective of the level of innovative work behavior orientation of the respondents. Secondly, since the reported data came from a questionnaire, several other limitations associated with it such as; the general issues of questionnaire's understandability and readability, scaling issues, and measurement errors should also be given serious considerations. Furthermore, there is no assurance that the respondents' responses are a true reflection of their ethical judgments, as some of the respondents could have provided socially-desired answers.

## 6. CONCLUSION

The exploration of innovative work behavior orientation among employees in local government in this study is intended only to reflect a general idea about their orientation towards innovative work behaviors in their work environment. Businesses are very much dependent on the effective and efficient functioning of local government to service their needs. Therefore, the behavior and actions of employees of local government as agents would mirror their organization's innovation and the quality of services provided.

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